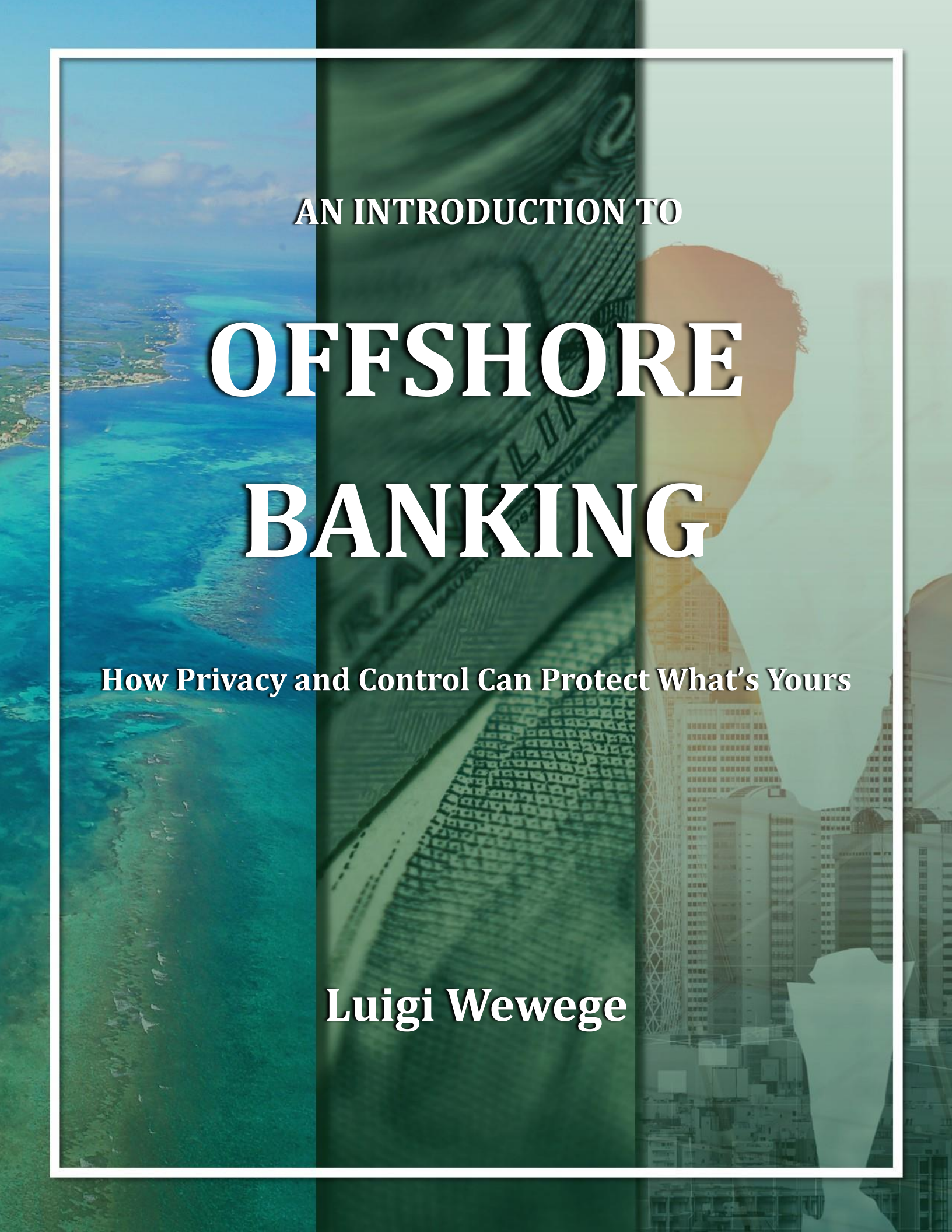




AN INTRODUCTION TO

OFFSHORE BANKING

How Privacy and Control Can Protect What's Yours

Luigi Wewege

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CHAPTER 1

An Introduction to Offshore Banks

What is an Offshore Bank?

Offshore or international banking is a term that refers to placing financial assets in accounts operated by a bank or other financial institution outside of your home country. Those accounts are governed by the laws and regulations that apply to all financial institutions operating in that international location. Since those laws may vary from one country to the next, anyone interested in opening offshore accounts will want to become acquainted with how banking is done in a given nation.

Potential customers often find that the range of accounts offered are similar to the ones offered by domestic banks. In some cases, there may be account offerings that are above and beyond those offered at home. That includes accounts that are geared more toward growing investments for retirement or achieving some other purpose. Almost anyone can open an international bank account. One of the myths that persists is that individuals who want offshore accounts must be wealthy. In fact, there are international options that make it possible for people who are considered to be middle-income earners to open a checking, savings, and other types of accounts.

Offshore accounts are not limited to individuals. Business owners may establish accounts for their operations. This is often a good idea if there are plans to cultivate a presence in an international setting. Along with basic accounts to manage operating expenses, it's possible to establish investment accounts, buy real estate, and basically use an offshore bank to manage all the costs associated with doing business in that nation or other international locations.

What are the Advantages of Offshore Banking?

One of the major reasons that investors move their bank accounts offshore is to take advantage of tax benefits. In some nations, tax rates are extremely favorable to investors. Offshore countries understand this is a resourceful way to attract wealth, resulting in a win-win situation for the country

and for foreign investors. As long as investors don't participate in local trade or make their money within the country, their assets are often not subject to local tax laws. That might mean a reduction in income tax, corporate tax, capital gains tax, or property tax, among others. While tax incentives are not the only reason to bank offshore, they are definitely an advantage. Keep in mind that tax benefits vary from one country to the next, and not all jurisdictions offer the same incentives to foreign investors.

Offshore banking creates a variety of ways for individuals to better protect their assets. Of course, simply having your liquid assets stored offshore in a traditional checking or savings account is a great start. However, you can also branch out and explore additional structures for asset protection. Many people, for example, look at trusts or fund structures. These can be a key piece of estate planning and can also preserve and protect existing assets while reaping tax benefits. By distancing yourself from your assets without losing control over how they are managed, you can better protect them and yourself. In addition, many offshore banks and banking countries aim to protect the assets of investors and have a legal system that works to the advantage of the individual.

Is Offshore Banking Legal?

There are those who believe that offshore banking is illegal, this is mostly slander by the media and pushed by tax collecting governments. In fact, having accounts based in a different country is perfectly legal and is written into the tax code. As with any type of financial account, there's still the need to track balances, manage funds, and keep up with what's happening with those accounts. As long as the individual or company owner ensures those accounts remain in full compliance with applicable banking laws, there are no legal issues with owning those accounts.

One thing that is illegal is to attempt to hide the existence of those accounts. While the institutions will follow all laws related to protecting depositor information, the responsibility of the depositor to comply with any disclosures required in the country of residence remains. In short, you can have any international account that you like. What you can't do is attempt to hide it from tax agencies.

What Should You Look for in an Offshore Bank?

Even after identifying the best country to establish your offshore accounts, it's a good idea to look closely at the reputation of the banks open to you. Spend some time investigating the policies and procedures of each bank, including what they require in terms of initial deposits. You also want to know the process for managing your accounts when you are abroad as well as when you are in the country.

Remember that the better banks are transparent when it comes to providing information about policies and procedures. Verifying the information you receive will not be difficult. Between local sources and what you can find online, it's possible to obtain answers to many of your questions. Combine that with the support you'll get from bank personnel and it won't be hard to identify the bank that's best for you.

Where are the Best Jurisdictions for Offshore Banking?

People who have never had an international bank account before may assume that the laws related to financial matters are the same all over the world. It's true that there are similarities from one nation to the next. There are also often important differences to consider. Before opening an account based in any other nation, it's important to understand how the banking laws compare to what's familiar. Take the time to determine what sort of legal protections are guaranteed to international clients.

Make sure you understand what types of recourse you have in terms of things like investing in stocks, bonds, or real estate. It also helps to understand your tax obligations to the country where the account is based. Your goal is to identify a country with banking and investment laws that will benefit you in the long run. Fortunately, there are agents who can help you compare and contrast the laws and regulations that apply in any given country.

Dos and Don'ts of Offshore Banking

The safety of offshore banking truly does boil down to the reputation and quality of the individual bank. Even in a secure and stable jurisdiction like Belize, not all banks are equal. Prospective clients should start by considering the stability of the bank. In particular, that means the percentage of liquid assets the bank keeps on hand at any given time. Banks with a high liquidity ratio tend to be more stable than banks with a very low liquidity ratio.

Next, look up the bank's history, origins, and reputation. It is increasingly common to come across a bank with just an online presence and limited reviews. The bank might be brand new, or it might be less than a year old. In almost all cases, it will be best to leave your assets in the hands of a bank that has years of experience and a good reputation both domestically and internationally. No banking choice can be 100 percent guaranteed. However, for peace of mind and a more stable financial future, offshore banking should be part of your asset diversification plan.

How to Stay Safe while Banking Offshore

Many prospective clients are justifiably concerned about the safety of certain banking jurisdictions. Although offshore banking is, as a whole, a safe option, there are certainly some countries that are safer than others. It is important to recognize that no two jurisdictions are the same. The safety of banking can depend on a country's government, stability, legal system, and currency, among many other factors. Belize is routinely ranked as one of the world's safest offshore banking destinations. Belize boasts a democratic government with a history of safe and fair elections. This stability is one reason why the nation's banks are so trusted.

In addition, the legal system is easy to understand and accepted by the world community. Belize's legal system is based on English Common Law, so it is familiar to most people who have lived, worked, or banked in places like Great Britain, Australia, or the United States. To top it off, Belize has a currency that is tied directly to the United States dollar at a rate of 2 to 1. This ensures that there is no rapid inflation or deflation, because any changes would first be apparent in the United States currency. Although no currency is completely immune, it is fair to say that the United States dollar is less likely to wildly fluctuate than many other currencies found across the globe.

What Forms do you Need to File with the Government?

It is important to fulfill any reporting requirements that might exist in your home country. That is especially true for U.S. citizens and green card holders, who must comply with the Foreign Account Tax Compliance Act (FATCA). There are specific forms required by the IRS and your banking financial advisor should be well-aware of the requirements.

It is also recommended to work with a financial professional or tax expert who understands the offshore markets and can provide additional assistance and guidance as needed. When maintaining

a balance of a certain amount in an overseas bank, you and your offshore bank are mandated to report this to the IRS. This process is straightforward and is in place to ensure all your offshore financial actions are above board.

Changes in Offshore Banking – Then and Now

Whether your passport reads U.S.A., Great Britain, Canada, or any other country around the globe, you may wish to pursue offshore banking. However, Americans in particular find that offshore banking is one of the most effective ways to increase their privacy. That's because financial privacy is not guaranteed in the United States, and there are several pieces of legislation that confirm it. The Financial Recordkeeping and Reporting of Currency and Foreign Transactions Act of 1970 is referred to as the Bank Secrecy Act (BSA). This Act was designed to limit money laundering, but it also pulled back the curtains on who opened and maintained all the bank accounts in the United States.

The U.S.A. PATRIOT Act of 2001 was similarly designed to reduce the funding of terrorism. While those are noble goals intended to keep Americans safe, it was at the expense of financial privacy. In other nations, the same types of open financial laws don't exist. In fact, certain nations even have legislation in place that protects the privacy and anonymity of account holders. Whether you have a specific reason for wanting more privacy or you just don't like the idea of your financial details being accessed, offshore banking can be a smart option.

Is Opening an Offshore Bank Account Difficult?

In the past, many people simply didn't know how to open an offshore bank account and finding out how to do so was a time-intensive process. Before the widespread access and use of the internet, it was difficult to research an offshore bank, choose the right kind of account, get in touch through long-distance phone calls, and then mail the necessary notarized documents to get started. Today, the entire process is far simpler thanks to the availability of online bank accounts.

With a few clicks of the mouse, you can learn more about offshore banks and jurisdictions. You can open bank accounts online and even manage your assets from your smartphone or computer. Whether you're at home, at work, or travelling overseas, you can stay on top of your financial holdings. There is no question that advances in technology are at least partially responsible for the resurgence of private offshore banking.

Why do you Need an Offshore Bank Account Today?

With your efforts to build wealth via domestic accounts and opportunities, you wouldn't dream of placing all your assets in a single opportunity, or even in a collection of similar opportunities. Diversification is always a good thing. When some of your assets are going through a temporary slump, others are performing well. The cumulative effect is that you still manage to gain a little more financial security from year to year.

Think of offshore banking as adding more stability to your financial future. By establishing accounts that provide reasonable returns, and that are not affected by whatever is happening at home, you're positioned to enjoy a more comfortable financial cushion. Even if something happened that virtually wiped out your domestic holdings, the offshore ones would ensure that you have something to use for rebuilding.

How do you Set up an Offshore Bank Account?

Whenever you open a bank account, whether domestically or internationally, you are required to supply documentation proving your identity and your primary place of residence. The following is a list of the most commonly requested documents for opening personal or corporate offshore bank accounts:

- Passport: Expect to submit a notarized copy of your passport.
- Proof of Address: This can be a notarized bank statement or a utility bill.
- Proof of Income: Bank statements or pay slips in your name.
- Bank Reference: Official notice that you have been an account holder in good standing.
- Company Documents: Required for corporate accounts.
- Business Plan: Often required for corporate accounts.

In most cases, these documents will need to be in English. If they are in another language, then you may need to have them professionally translated at your expense. All documents are usually submitted with your account application.

CHAPTER 2

Who Needs an Offshore Bank Account?

Even today, many people believe that offshore bank accounts are only for the rich. Those in the upper-class ranks can indeed benefit from establishing international accounts and depositing into them regularly. You should also know that [people with more modest incomes](#) can also benefit from choosing to open one or more offshore bank accounts. If any of the following applies to you, then looking into accounts with the right offshore bank is something you should seriously consider.

People who Want Resources for a Rainy Day

It's always nice to have some money set aside for a rainy day. One way to do that is to set up an account for use in emergencies. While you want to access that account at will, you don't want it to be one of the bank accounts you use for typical purposes.

This is where an international bank account can be helpful. Many of these accounts require a minimum deposit to become established. If you put in enough, the balance will generate some interest. In the best-case scenario, that interest would be enough to handle whatever emergency has arisen without depleting the remaining balance.

Anyone who likes the Idea of Competitive Interest Rates

Speaking of interest rates, did you know that some offshore locations offer better rates than what you can get from a domestic bank? For example, there are time deposit accounts that allow you to earn an impressive amount of interest if the balance is kept over a certain amount. Some offshore accounts like this one have a tier system for interest; as the balance reaches different levels, you qualify for higher interest rates. That's a great way to make money and save, letting your money work for you.

Remember that you don't have to start the account with more than the minimum deposit required. It's always possible to start with a smaller balance and then gradually add to it until you reach a level that generates interest. For people of more modest means, this is often a great way to get started with offshore banking.

Those who Plan on Living Abroad

You may have a dream of retiring to another country someday. Now is a great time to begin preparing for making that transition. If you establish accounts with an offshore bank now, it will be easier to ensure the process of transferring assets from your domestic accounts will be more straightforward.

Since you plan to visit that intended retirement location between now and when you make it your permanent home, it's nice to know there are funds on hand if you need them.

Don't forget those who are [preparing to be expats](#) may receive certain tax benefits. Depending on your country of origin, those benefits may be based on confirming that you are an expat. Bank accounts that are located offshore and have local addresses attached to them can satisfy that requirement.

People who Travel Internationally

Right now, the primary focus is on making sure you have an account complete with a debit card for use while traveling abroad. Depending on where you're going, a card associated with an offshore account may work better than using the one related to a domestic bank account.

Why could this be the case? The exchange rate between the country you're visiting and where the account is based may be more favorable. Perhaps the banking laws that apply to the country where your account resides are more favorable for some other reason. Whatever the combination of circumstances, you end up finding it advantageous to use your offshore debit card rather than withdraw from your domestic funds.

Anyone who Wants to Build Nest Eggs for Retirement

In an uncertain world, setting aside money for the retirement years is a must. You'll find that establishing an offshore savings account can help you with this goal. Depending on the terms that come with the account, it's likely to be a better choice than depositing funds into a domestic savings account.

It's not just the interest rate that may be more attractive. The fact that the account is based in another country may make you less tempted to withdraw the funds unless they are seriously needed. In this way, you protect yourself from falling into a pattern of making deposits and then withdrawing

funds to pay for things that you don't need. The result is the money remains in the account, earns interest, and leaves you more financially comfortable when you retire.

Those who Value their Privacy

Privacy is another reason to consider opening an offshore account. The fact is that you don't want everyone to know where you have your funds deposited. While the information will come to light should you die, there's no reason why you have to share it now. You'll find that an international bank is a great way to protect your privacy as well as your money.

International banks are known to be careful with information about depositors. You are free to designate authorized people to access your account. However, without your permission, there is little that can be done by others to gain information regarding your account other than through specific courts.

People who Want to Reduce their Tax Obligations Legally

Depending on domestic tax laws, the funds you place in offshore accounts may be subject to less taxation. In some cases, the money may not be taxed unless you choose to transfer it to a domestic bank account. Thanks to this measure, it may be possible to deposit up to a certain amount in your offshore account annually and reduce your tax burden.

Keep in mind the offshore banks in many countries do provide limited information to domestic tax agencies. Do keep accurate records and report offshore funds by following the requirements of your country's revenue agencies. Doing so ensures that you get to enjoy the benefits but do not create any issues that could make things difficult at home.

Anyone who Wants to Protect their Wealth from Political Risk

If the political climate at home is somewhat unstable, you may be wondering what would happen if things got worse. How would it affect your holdings or possibly the ability to make use of them? The money in your domestic accounts could indeed become difficult to utilize if things get worse. That won't happen with your offshore accounts.

Even if there are problems with domestic banks, they won't affect the funds found in your offshore bank accounts. They could end up being the means of keeping your head above water until things are more stable at home politically.

Those who Want to Protect their Assets in the Event of Legal Action

While the political situation may not be a pressing concern, there's another issue that you may want to consider. What would happen if someone sued you, and the judgment was not in your favor? What would happen to the financial assets held in domestic accounts? The most likely outcome is that the court would authorize the seizure of those balances to satisfy the judgment.

If that happens, the funds kept in your offshore savings, term deposit, or checking account cannot be automatically seized. You can use the balances in any way you see fit. That includes being able to support yourself while you re-establish your domestic accounts after the judgment is satisfied.

CHAPTER 3

What are International Banks?

The concept of international banks is nothing new, but it does seem unfamiliar to many people.

Common questions can include:

- What is it about international financial institutions that attract so much attention?
- Are they all that different from domestic banks?
- What are some of the reasons why people would choose to establish accounts at international banks along with maintaining domestic accounts?

Could it be that an account or two at an international bank would be helpful in your case? Here are some basics that will help you understand more about these banks and what they can do for you.

Defining the Meaning of an International Bank

An international bank is a financial institution that is based in a foreign location and provides services to clients from around the world. In many ways, international banks provide services and support that is familiar to anyone who has maintained any type of bank account. What is different is the additional services that are often included.

There's more than one type of international bank. The one that most people and many business owners will use is known as an offshore private bank. There are also institutions that are classed as correspondent banks, offshore banking centers, and subsidiary banks. For now, let us focus on what private banks have to offer and how they compare and contrast with domestic banks.

Who can Benefit from Opening Accounts at an International Bank?

The short answer is that just about anyone can benefit from opening a savings, time deposit, or checking account at an international bank. This applies to those who are considered wealthy, but people who earn middle-class incomes can also make use of this type of financial resource.

People who want to [build up financial reserves](#) while taking advantage of excellent interest rates should consider opening offshore accounts. Those who want to expand their investment portfolios to include international investments may find going through an offshore bank is a smart move.

When the goal is to set aside funds specifically for retirement, opting for offshore accounts is a great idea. Even business owners who want to establish a presence that makes it easier to conduct business on an international scale may find that offshore accounts are a better option.

Does the Location Really Matter?

Choosing to open any type of banking or investment account with an international bank means considering the right location. It's important to remember that banking laws can vary from one nation to the next. By understanding how those laws apply and what they mean in terms of building wealth, it's important to look for a few qualities.

You want to consider banking options in nations with a proven track record of political and economic stability. The regulations that govern international accounts must provide a reasonable amount of protection for depositors.

Access to the accounts also matters; the ability to manage them online as well as in person is a plus. You want to ensure that your banking information is considered proprietary and that it will not be shared with outside entities unless you provide permission. Finally, you want to ensure that the return on your balances is competitive and somewhat consistent.

What Types of Banking Services are Offered?

You will find that the ideal international bank offers accounts that are much like those you use at home. Checking and savings accounts are prime examples. As with many domestic accounts, these international counterparts provide interest if you maintain over a certain balance. Top offshore banks provide debit cards for checking accounts, allowing you to access your funds at will. In some instances, using the debit card connected with your international account will be a better choice than using a domestic one.

There are also time deposits and different forms of investment accounts to consider. One of the benefits of the latter is that you may be able to include investment options that are not available in your country of origin. That helps broaden the scope of your portfolio and possibly add additional security against economic shifts. For the former, you'll find the rate that applies for the term you select is often competitive with what you could get with similar accounts at home.

Tips for Choosing the Right International Bank

You already know that the location is important to choose the right international bank. Regulations and banking laws are the reasons why location matters. Ideally, those laws provide protections for you and the resources held in those accounts. This is particularly important if you plan on retiring in the nation where those accounts are based. When the time for retirement comes, moving around your assets will be much easier with those established accounts.

Do take the time to find out more about how the bank operates. Does it have an investment arm that would allow you to take advantage of opportunities to build more wealth? If the plan is to invest in real estate within that nation, does the bank have loan programs that you could use? Will you need an agent to manage your accounts or can you take care of this remotely as well as when you visit the nation?

Finally, the absence of a language barrier will definitely make communicating simpler.

Managing your International Bank Accounts

On the issue of account management, do ensure that you know exactly what policies and procedures you will need to follow. Today, many international banks provide customers with secure access to their accounts.

With some banks, it's possible to set up a single point of access that includes a username and password, along with some secondary form of identification. In this scenario, you would be able to log in to a central interface and manage everything from moving money from savings to a checking account, shift returns from your investment account to the checking or savings account, or move money from a checking or savings account to an investment account.

The value of online access is that you can do your banking at any time of the day or night. While the transactions may not complete until the following business day, you can clearly see the status at any time. For example, you may see a transfer of funds from the checking to the savings account occur immediately. If you set up a transfer to a different institution, that may not show as completed until the following business day.

Final Thoughts on International Banks

As with domestic banks, it pays to research the choices thoroughly. Be sure you know what to expect in terms of transaction fees, limits on transaction totals per business day, and the options for customer service and support that are available.

Once you are comfortable with what the bank has to offer, set up an account, and see how things go. If you are happy, establishing additional accounts with that same bank may be in your future.

CHAPTER 4

International Banking in Belize

International banking is a topic that many people have heard of but don't necessarily know well. They've heard things and likely seen the concept of offshore accounts used as a device in a movie plot. That's led to quite a bit of misinformation about international banking in general.

If you're interested in the idea and would like to know more about how international or offshore banking in Belize works, here are answers to some of the most frequently asked questions.

Is it Still Legal to Open Offshore Accounts?

Individuals and business entities can legally open accounts with international banks. This is true for business owners who want to open accounts at commercial banks in Belize as well as individuals who want to open offshore checking and savings accounts. Both individuals and businesses may open investment accounts with international and offshore banks.

The key is compliance. Opening any type of offshore financial account requires complying with applicable rules and regulations set by your home country. You also must meet the qualifications and remain in compliance with the banking regulations in Belize or any other nation where you choose to establish accounts.

What's the Benefit of International Banking?

Some people immediately associate international banking with hiding assets or avoiding legitimate tax obligations. While it's true that these types of activities have occurred, current banking laws in Belize and other nations make them increasingly difficult. At the same time, updates to regulations and banking laws provide a number of benefits to opening and maintaining international accounts.

Individuals have the benefit of depositing funds into accounts that may provide a higher interest rate than their domestic counterparts. This is true with time deposit accounts in Belize as well

as some other types of accounts. It's possible to set up a basic checking or savings account, then have the interest earned on a time deposit transferred to that account on a quarterly, monthly, or annual basis. The interest income can also remain in the time deposit account. Think of it as a low-risk way to accumulate resources for the retirement years.

Company owners can set up organizational structures that allow them to take advantage of favorable banking and tax laws that apply within the host country. This approach is simply a smart way to maximize the use of company resources and avoid waste. International accounts with a commercial bank in Belize also position the company to make investments that would not be possible using a domestic bank.

How Stable is the Government and Banking in Belize?

Economic and political factors do have an impact on the stability of banking within any nation. In the case of Belize, the economy, as well as the democratic government, is stable. There are no indications that this will change any time soon.

It's the economic and political stability of the country that attracts individuals and company owners to open accounts in Belize. Even if there's unrest at home, the impact on the assets held in Belize accounts is usually minimal at best.

How Safe are Belize Banks?

[Banking laws](#) and regulations in Belize are designed to ensure the banks operating within the country keep depositor accounts safe. All financial institutions with a presence in the nation must comply with the qualifications set by the Central Bank of Belize. Many of those qualifications set the standards used to protect the funds held in all types of bank accounts.

The banking system has much in common with other nations that are sometimes held up as the standard for safety. You'll find much in Belize's system that mirrors what's found in the systems used in Canada, the United States, and the United Kingdom.

Is it Difficult to Open Bank Accounts in Belize?

The process for opening bank accounts in Belize is not difficult, but it is detailed. This is true for businesses as well as individual accounts. Along with meeting requirements that apply to specific types of accounts, there are documents and important information that must be supplied before a bank in Belize will consider an application. The good news is that you can initiate the application process online. You do not have to be physically in Belize to open any type of individual or business account.

Be prepared to provide copies of documents that establish your identity. That includes a passport. You also need proof of your permanent residence and a letter of reference from your domestic bank. There's no specific format for that reference letter, but it should identify you as a depositor and provide some basic details about how long you've been a customer of that institution. Depending on the type of account you're seeking to open, there may also be the need to supply personal references.

Some banks will accept electronic copies of your documents and begin the evaluation process pending the receipt of paper copies. The final decision is made once the hard copies are received by courier or by post and reviewed by bank officials.

How Much Must I Deposit to Open an Offshore Account in Belize?

Some account types require minimum initial balances while others allow individuals to open accounts using just about any figure. The only way to know how much you will need to deposit initially is to interact with a banking official. Keep in mind that many accounts pay a higher rate of interest if you maintain a higher balance.

Many people are surprised that they don't have to be millionaires to open accounts in Belize. Several banks offer accounts that are geared toward those who are considered to be in the middle-income range. That's especially attractive for people who want to build wealth using those accounts and are thinking of eventually retiring to Belize.

How can I Manage my Accounts?

Online access is common with most individual and business accounts offered by Belize banks. There is also the option of placing a call to the bank during standard business hours. In both instances, you will need to use credentials that confirm your identity.

While online access is available around the clock, remember that banking hours in Belize are somewhat different from other countries. Even so, the time of day is not likely to be an obstacle. Belize is located in the Central Time Zone. If you live in Chicago, your local time coincides with the time of day in Belize.

Who has Access to Information About my Accounts?

Information about your international accounts is held in the strictest confidence. You have access as well as any other person that you add to the account. Domestic tax agencies have limited access based on the laws in Belize.

Keep in mind that you're responsible for reporting any interest or investment income in accordance with the tax laws in your home country. That information should match any information that Belize has currently agreed to supply to those agencies.

Remember that the best strategy for opening international banking accounts is to talk with financial experts in Belize and provide an idea of what you want to accomplish. Doing so makes it easier to focus attention on the types of accounts that are most likely to help you meet your financial goals.

CHAPTER 5

Understanding the Role of International Banking in Belize's Economy

While much of the focus on international banking and investing tends to focus on the individual or entity opening [offshore accounts](#), the countries that have these accounts benefit in a number of ways. Belize is one such good example.

As one of the more popular options for establishing offshore accounts and pursuing investment opportunities, the role of international banking offers significant benefits for this country. Here are some facts you should know about international banking's impact on the economy and how it positively contributes to the advancement of this jurisdiction.

Belize as Part of the Caribbean Financial Community

One of the first things you need to know about economic development and growth within

Belize is the country is not attempting to do everything alone. Belize has been part of the Caribbean Community since the early 1970's. Typically referred to as CARICOM, the community includes member nations like Jamaica, the Cayman Islands, Bermuda, Haiti, and the British Virgin Islands. There are also associate members like Aruba, Panama, Mexico, and Venezuela.

The stated purpose of CARICOM is to promote economic growth by encouraging trade and economic integration among the constituent nations. It's also designed to aid in coordinating development planning and foreign policy that represents the member countries. This background makes it easier to understand the setting in which Belize strives to develop and grow the economy with resources that are both internal and external.

Your Offshore Account and the Ability to Purchase Real Estate in Belize

[Real estate](#) is one of the prime movers of economic development in Belize. While some of the development comes from domestic sources, a significant amount is due to international investors and buyers. It's not just people who plan on retiring to the country eventually who help to drive the real estate market. Business owners also seek to purchase and develop properties.

One of the things you need to know about real estate purchases in Belize is that there's a good chance banking institutions in your country of origin are not likely to extend financing for this purpose. That is certainly the case if your country of origin happens to be the United States. The situation is also complicated by the fact that Belize institutions that lend money to foreigners are somewhat limited. As a non-citizen, you won't be able to walk into the typical local Belize bank or credit union and obtain a mortgage.

How can the issue with purchasing property be managed? One approach is to buy the property outright. By using funds in your offshore accounts, you pay for the property that you want to purchase. There's no need for financing, so you can circumvent the entire issue.

Another possibility is working with an international bank in Belize that does have solid corresponding banking relationships with financial institutions in other countries. While it may take some arranging on your part, this could result in offshore mortgage terms that would work well for you.

Utilizing those Properties to Build your Offshore Accounts

Now that you own the properties, what's done with them? If you purchased residential properties, develop them and utilize them to provide short-term housing for tourists. This type of arrangement allows you to generate income that ends up in your offshore accounts. Think of it as putting the asset to work for you pending the time when you decide to [retire to Belize](#).

Don't forget there may be some restrictions on who you can lease the property to at any given time. There are some restrictions on leasing to family members, although there are exceptions. In general, plan on leasing to tourists or those who would like to remain in the country for an extended period of time. Even as you benefit from the rental receipts, the tenant's spending stimulates the local economy, something that indirectly benefits the entire country.

Be mindful that regulations applying to residential structures may or may not apply to business structures. It helps to obtain legal assistance so there's no misunderstanding about how you can use the property and what types of standards it must meet.

Information about Tourism in Belize

A look at [tourism in Belize](#) for 2022 illustrates how it contributes to economic stability and development. Considered the fastest growing tourist attraction in the Caribbean currently, there were 169,922 stayover tourists as of the end of May during the year cited. This constituted a 58 percent increase over the previous year. Granted, COVID-19 has hit the tourism industry hard; however, the data shows Belize is making a solid comeback.

Tourism is contributing directly to the country in a number of ways, and likely in some indirect ways that are not included within the scope of many studies.

International Banking and the Connection with Tourism

Remember that purchasing property is a great investment for you. It's also exceptionally good for the country, since it has the potential to provide one more reason for tourists to choose [Belize over other countries](#), and thus generating more income that remains within the country.

Belize benefits from the tourist dollars that are spent as those visitors make their way around the country. Since some of them will need to set up offshore accounts that make it easy to pay for everything from food to travel and living accommodations, therefore this international banking solution also helps strengthen the national economy. There are other areas of the economy that are bolstered by tourism. Properties found near waterways mean people renting superyachts and other crafts that they dock during their stays. It's not unusual for those who purchase rather than rent superyachts to register their crafts under the country's flag. Couple that with the fees for being able to dock and house the crafts, and you see one more way tourists support the economy.

Why Contribute to Belize's Economy?

If you eventually plan on [moving to Belize](#), it makes sense to support the economy now. Investing in real estate means one more way to be financially secure during the retirement years. It also means

acquiring assets that are there when you need them, since they're safely housed in your offshore accounts.

Are you ready to get started? Talk with a financial services professional today and outline what you have in mind. From there, it will be possible to begin building a set of offshore accounts and assets that help you eventually achieve all your financial goals.

CHAPTER 6

Offshore Banking Trends

No one saw 2020 coming, at least not in the present form. Many thought it would be a year much like what has gone before. With the advent of COVID-19, sectors of the financial community are learning to navigate in a new and strange world.

Offshore banking institutions have proven to be particularly effective in the new order of things. Much of what was already being done has allowed those institutions to continue caring for their clients even as they refine their strategies. Here are some examples of offshore banking trends that are happening right now and will likely continue into the next several years.

Greater Emphasis on Asset Protection

With uncertain economic situations in many parts of the world, it's only natural for people to look for ways to protect their assets from erosion. Choosing to place those assets in settings that are holding up well during the pandemic is a smart move.

That's where offshore banking comes into the picture. Opting for savings, checking, time deposit, and other accounts based in a nation that appears to be weathering the pandemic well translates into greater financial security. Expect more people to set up international accounts for this reason.

Financial Technology Continues to Strengthen

Offshore banks were already heavily investing in financial technology. With an international clientele, the need for faster, more intuitive, and comprehensive technology has become obvious. That's why offshore banking and investment institutions were already working on the technology before 2020 began.

With the pandemic, the need is even greater. As more international clients need online tools to pay bills, transfer funds, deposit money, and check on account statuses, offshore banks are making sure those tools are working around the clock and that they're readily available to all clients.

More e-commerce Entrepreneurs are Moving Offshore

It's no surprise that more people are shopping online right now. Much commerce was already taking place online; with people practicing social distancing and being at home more, the amount of eCommerce has increased at a pace that not many have predicted in 2022.

Commerce regulations in some nations make it profitable for entrepreneurs to base their operations in offshore settings. The business tools offered by offshore banks located in the same countries make it practical to also move banking services to the same location. The result is that consumers get to enjoy an easier shopping experience while the entrepreneurs get to keep more of the profits within their businesses.

Changes in Tax Structures for Consumers and Corporations

While not true in all nations, there are some countries that are changing tax structures so they're more favorable to individuals as well as businesses. This was already in the works in a number of locations, but the number and pace of those changes is accelerating.

By the end of the year, there are likely to be more offshore locations that can tout changes in how taxes are calculated and why those changes benefit those who choose to live or invest in certain nations.

More Opportunities in the Digital Asset Capital Market

Just about everyone has heard of digital assets like cryptocurrency. What you may not know is that the use of this type of digital asset is becoming more popular today. In some nations, the push to make it easier to invest and utilize cryptocurrency for purchases of goods, stock options, and a number of financial transactions is strong.

There is some speculation that cryptocurrency is an asset class that will continue to grow in usage this year. One theory is that once COVID-19 is under control, the use of this type of asset will continue

to gain in influence and common use. For this reason, many offshore banks are stepping up their efforts to accommodate digital assets. The goal is to be ready when the explosion begins and be able to serve customers without missing a beat.

Artificial Intelligence and Meeting Client Needs

Artificial intelligence (AI) is already making inroads in banking across the world. One trend that is likely to continue is the use of AI in anticipating consumer needs and wants. Based on past transactions and account activity, AI is likely to take the form of predictive technology.

This means that based on how you manage your offshore accounts, AI could come up with ideas that you could employ to increase returns, minimize expense, and work toward a financial goal that's indicated by your activity. While you always have the final word, those suggestions could prove to be helpful in growing wealth.

Greater Protection of Client Information

Protecting proprietary client information has always been important, but it takes on new relevance in today's world. More online financial activity comes with a greater risk of hacking and other threats. Offshore bankers are aware of this and are constantly striving to protect client data from falling into the wrong hands.

Throughout the remainder of the year and beyond, look for offshore banking and investment institutions to implement more policies, procedures, and safeguards aimed at protecting everything from the identification of depositors to account balances. Most of this will be done without any direct impact on how clients' access and use their accounts. What it will do is make online banking more secure than it's ever been.

More Personalized Customer Service and Support

While auto-attendants are going nowhere, offshore bank professionals are recognizing that clients want interaction with real people. To that end, many are making it easier to talk with employees about everything from establishing accounts to help with transferring funds. Banks with investing arms are also beginning to provide secure video sessions with clients who are interested in moving their portfolios in different directions.

Expect this emphasis on more personal client care to increase throughout 2022 and into the years to come. Those who prefer to log in and seek help from a digital assistant or by sending a message or email will still have those options. It's the personal touch of talking with another person that will be more readily available.

Take Advantage of Trends

2022 is a year when trends from 2019 are continuing, albeit with some twists thanks to the worldwide pandemic. Adaptations to policies, operational strategies, and even a revival of more person-to-person client care is now part of the mix.

For financial service consumers, that's not a bad thing. In the long run, it means a greater range of choices, more secure accounts, and easier access to personalized financial services when the need arises.

CHAPTER 7

What is an Offshore Banking Prepaid Visa Card?

Whether you spend time traveling abroad for business or pleasure, choosing to carry an offshore prepaid Visa or MasterCard is a smart move. It always ensures you've got cash on hand and provides a convenient way to track spending.

Here are some basics that will help you select the right international prepaid card and always feel ready for any event.

How Does the Card Work?

With an international prepaid card, it's possible to set a limit that works for you. Many [international cards](#) can be funded from business or personal checking accounts. The account used for the funding may be international or domestic.

All that it takes to fund the card is to transfer to the account connected with the card. In some cases, the transfer will be completed in minutes, and you can make use of the balance immediately. With other card plans, it may be the next business day before the transferred funds appear in the card balance.

In terms of using the card for transactions, they work just like any type of credit card. Present the card at the time of purchase. You may need to enter the security code found on the back of the card at certain venues. If you're shopping online, enter the card information just as you would with a domestic credit card. Assuming there are enough funds in the prepaid account, the transaction will go through with ease.

Where can I use the Card?

You can use the card at any location that accepts Visa or MasterCard. Look for the labels found on the front doors of shops as well as at the registers. That will let you know if the merchant does accept

the type of card you're carrying. Keep in mind that you can use the card in domestic as well as international settings.

This makes it easy for you to buy all sorts of goods and services while abroad. Shop for clothing, personal hygiene products, pay for food in restaurants, or buy medications. The fact that the card is prepaid won't matter to merchants.

Can I Transfer Funds or get Cash?

While you will need to check the terms and conditions that apply to the prepaid card, many issuers allow users to withdraw cash in local currencies. You would use a local ATM for this purpose. There are likely to be daily limits on the amount of money you can withdraw.

Transferring funds may also be possible. If the need arises, you could transfer money from the card to a checking account. Once it posts to the account, it would be possible to use the increased balance to make purchases using the debit card tied to the checking account. Keep in mind that the transfer could take a few hours or possibly not post until the following business day.

Are there Fees Associated with the Account?

The typical prepaid credit card does include fees for different functions. There's sometimes an activation fee that applies when you first receive the card. You may also find that a loading fee is imposed when you transfer money into the account backing the card. Balance inquiries or withdrawals at ATMs are also likely to result in a fee.

Before securing a prepaid card account, ask the issuer for a breakdown of all potential fees. This includes one-time fees as well as recurring ones. You can compare that fee schedule with the schedules offered by other issuers. Doing so allows you to understand better which card would work the best in your circumstances.

Are there Limits on the Amount of Money I can Load into the Account?

While there are some exceptions, most prepaid card accounts do come with balance limits. Most of them are sufficient enough for most travel plans. When you receive the schedule of fees, ask what the funding limit happens to be for the account.

What sort of limit can you expect? It's not unusual for issuers to set limits that are around USD \$10,000. Since it is possible to transfer more money into the account as you use the current balance, it's relatively easy to track how much is left and add more as the need arises.

Can I add Backup Funding to the Card?

Some international prepaid cards allow you to do more than initiate a transfer that adds money to your credit card balance. The same account used for transfers can also serve as backup funding. That will help reduce the risk of incurring fees for failed transactions.

In this scenario, you make a purchase, but there's not quite enough money in your prepaid account to cover the expense. The card issuer uses the total balance and then initiates a withdrawal from your backup funding source. That amount equals the funds needed to complete the transaction plus any fees that apply. Until you transfer more money into the credit card account, it cannot be used for any additional purchases.

Do Offshore Prepaid Cards come with Rewards Programs?

Not all offshore prepaid cards come with rewards programs, but some offer plans that work much like those you use at home. While a rewards plan is not reason enough to choose a specific prepaid card, it can be a nice bonus if you like all the other card features and functions.

Someone who uses the card frequently could end up with a reasonable monthly bonus or build up enough points to purchase something that he or she has wanted for some time without using cash.

What Happens if I don't use the Card for a Period of Time?

Don't be surprised if your prepaid credit card comes with what's known as an inactivity fee. This is a fee that the issuer will assess if there are no transactions on the card for a specified period of time. That period may be 30, 60, or 90 days. You'll find the schedule for inactivity listed in the terms and conditions that apply to the card.

There is a workaround for avoiding inactivity fees that often applies. Many cards are set up to recognize credits as well as debits as qualified activities. If you don't plan on using the card for a couple

of months, make it a point to initiate a small funds transfer to the card at least monthly. That will count as activity and prevent the fee from occurring.

Will the Card Expire at Some Point?

Like domestic credit and debits cards, your prepaid card will come with an expiration date. Until that date arrives, feel free to use the card as much as you like. Once that date arrives, any attempts to use the card will be rejected.

The card issuer is likely to contact you a month before the expiration date arrives. That provides time for you to verify that you want a replacement card with a new date. You will also have the opportunity to confirm the mailing address. Some issuers will also offer the option of expedited delivery for a fee. In most cases, cards sent through the post without any special delivery will still show up in 10-14 days.

CHAPTER 8

Things to Consider Before Opening an Offshore Bank Account

The decision to open an offshore bank account is one that has been taken by approximately 26 million Americans, even as the [OECD promotes greater transparency](#). Many people still find that this solution has numerous advantages, as it helps them grow their assets and position them to take advantage of exchange rates when they travel.

One thing to keep in mind is that not all offshore accounts in all nations work precisely the same way. That's why you want to choose wisely before opening that first account. Here are some points that you should consider closely. The information that you collect will improve the odds that you're happy with the account for a long time to come.

What's the Primary Reason for Opening an Offshore Bank Account?

You likely have more than one reason for wanting to open an offshore financial account. Don't feel alone. It's not unusual for individuals to open this type of account for several reasons. Even so, there's usually one reason that stands out from the rest.

Examine your motivation and identify the primary reason for wanting to open the account. Could it be that you're thinking primarily about your retirement years? It could be that a time deposit account with the right bank would be a great addition to your retirement savings plans. Perhaps the main goal is to build up assets based in the country where you plan on retiring. There are also bank accounts that will help you grow the balances faster.

By defining the primary purpose of having the offshore account, it's easier to focus on institutions that can help you meet that goal.

Finding the Best Location

Do put some thought into where the bank you're considering happens to be based. One of the more essential reasons for this is that banking laws vary slightly from one nation to the next. Understanding the rules and regulations that the bank is required by law to follow makes it easier to decide if that's the right place for your money.

Along with the banking laws and regulations, the general stability of that nation is also something that you want to consider. Is the political situation relatively stable? Does the economy seem to weather recessions and other international incidents with comparative ease? When you find the banking laws to be equitable and the country to be stable overall, that's an excellent place to consider depositing your hard-earned cash.

The Bank's Reputation Matters

When you chose a bank for your domestic accounts, it was more involved than going with the bank closest to your home or office. You spent some time reviewing ratings and reviews of local banks. Your goal was to find out how well the bank took care of clients, and if there seemed to be any recurring issues that would make you hesitate to do business with that institution. Take the same care when looking for an offshore bank.

Do take the time to find out what others think about the bank and how it operates. You want to know that the staff is there when you have questions or would like some advice on how to get the most returns for your deposits.

You also want to know that the bank is known for standing behind any stated promises. If the general reputation is positive and the bank offers the types of savings and checking accounts that you want, it's worth considering.

Minimum Balances for Opening Accounts

One of the misconceptions that people have about offshore banks is that it takes quite a bit of money to open accounts. In some nations, that's true. Offshore banks based in other countries offer account options that require modest opening deposits.

If your income is more middle class than the upper class, it pays to find out what sort of minimum deposits are needed to open accounts with a particular bank. You may find that some allow you to establish the accounts with less money on the front end. Once your balance reaches a certain level, you begin to earn interest. This type of arrangement is an excellent solution for anyone who will need to build balances incrementally rather than make a larger initial deposit.

Recurring Fees

Banking fees are a fact of life, no matter where your accounts are based. Your goal is to look closely at the fee structure associated with any bank that's under consideration. Primarily, you want to keep the type of fees and the fee amounts as low as possible. Many people are surprised how much money they save by looking closely at this one facet of international bank accounts.

As you look around, you'll find that banks in some nations seem to charge fees for everything under the sun. You may have monthly maintenance fees, transaction fees that apply even if you transfer money between accounts with the same bank, or even costs that apply if you want online access to your funds.

The good news is that some international banks have a simple and relatively short list of fees that would apply to any depositor. That's the type of bank you want to consider.

Access to Your Accounts

Access to your accounts is also something to consider. While online access is more common today, there are still nations where international clients have to do business by phone or email rather than accessing their accounts directly. You want to choose a bank that offers a simple and straightforward interface that allows you to check balances and conduct transactions at any time.

Equally important is the security measures that apply to your online access. Opt for a bank that provides enough authentication on the front end to minimize your account's risk being compromised. Since you already take measures on your end to prevent unauthorized access to your home network, it makes sense that you would want some assurance that the bank is also protecting the access on the other end. S

The better banks are happy to provide potential clients with a demonstration of how the online interfaces work.

Protection and Privacy for your Accounts

It's not just your interface that needs to be secure. The measures taken by the bank should ensure that getting to proprietary data is as difficult as possible. For this reason, you want to find out more about the security measures used to protect the bank's network and access to customer data.

It also helps to know how much access officials in your country of origin would have to your offshore bank account data. In other words, you want to know that no third party can get to your bank balances or information without your permission.

Why does this matter? If something happened that left your domestic assets open to collections and seizures, you want to make sure your offshore accounts can't be touched. Those funds will provide the basis for getting a fresh financial start.

Take the First Step in Offshore Banking

The first step is to decide that you want to open offshore accounts. After that, it's a matter of selecting the right financial institution that's based in the ideal location.

CHAPTER 9

Why you Need to Open an Offshore Bank Account Today

Offshore banking may be something you haven't considered until recently. After considering the benefits that come from creating and funding offshore checking accounts and other types of deposit accounts, you wonder if one would be right for you. So let's discuss nine reasons why you need to open an offshore bank account today.

Even those who consider themselves middle-class will find that [establishing and growing offshore accounts](#) makes sense for a number of reasons. Here are some that you should think about seriously.

Protecting Yourself from Domestic Economic Downturns

Were you among those who lost wealth during the last recession? Many people found that institutions they considered safe ended up costing them quite a bit. Some are still attempting to get back to the same level of wealth they enjoyed before the recession.

Insulate yourself from that sort of event by establishing international accounts while maintaining your domestic accounts. Doing so will mean at least part of your wealth is less likely to be affected by domestic shifts in the economy. Even if things should become dire again, the funds in your offshore accounts could be enough to keep you from a great deal of worry.

Enjoying more Competitive Interest Rates

Did you know that many offshore banking institutions offer interest rates that are competitive with anything that you can get closer to home? A quick comparison between the two will confirm that even modest investments in offshore checking accounts, term deposit accounts, or lifestyle accounts could

produce greater returns. Think of it as one more way to build wealth and protect yourself from unforeseen circumstances.

Remember that larger account balances sometimes translate into enjoying higher interest rates. Even after your initial deposits, continue to grow your balances over time. Doing so will make it easier to enjoy the best possible rates and boost your returns.

Protecting Assets from Judgments

What would happen if you were sued and the court decided in the plaintiff's favor? In most cases, your domestic assets could be seized in order to settle the judgment. How would you get by if all those assets were suddenly gone?

Not everyone knows that assets held in international accounts are rarely subject to seizure in order to fulfill a judgment. That means if it takes every penny in your domestic accounts to comply with the court, there are still funds to draw on safely tucked away in your offshore accounts.

Taking Advantage of Currency Diversification

You know that the rate of exchange for different currencies shifts constantly. Not many domestic banks provide options for holding different currencies in customer accounts. That could mean you miss out on opportunities to grow your wealth. In some cases, it could mean that your wealth decreases.

The good news is that offshore banks often have more options for holding various currencies. That positions you to take advantage of favorable changes in the exchange rates and boost your wealth.

Create Assets for Your Retirement Years

The day will come when you no longer want to work. Will you have enough to ensure those retirement years are free of financial worry? By choosing to set up and fund offshore accounts, you create assets that provide a greater financial cushion.

Remember there are lifestyle accounts that help you grow wealth that comes in handy if you chose to live abroad. It also provides the cushion needed to take care of unforeseen financial emergencies, such as an unexpected illness.

Do keep your domestic pension plan, savings, and other accounts going, but see your [offshore accounts](#) as one more way to ensure your retirement years are financially secure. No matter what happens, the funds are there to take care of whatever should happen.

Ready Funds for Medical use when Abroad

If you don't travel abroad often, you may not know that difficulties can arise if you need money for medical expenses. That's due to some of the laws that apply to domestic banking institutions.

If you have funds in one or more offshore accounts, you can draw on them to cover those expenses. There's often little to no delay, and you might even enjoy a more favorable rate of exchange.

Protecting Yourself from Potentially Unsound Banking Practices

Banking laws are subject to change. Couple that with the way that some institutions have operated just within the limits of those laws, and it's possible for you to lose money because of those practices.

You'll find that offshore accounts with a reputable institution and subject to transparent laws and regulations minimize the risk of your balances disappearing.

Minimizing the Risks with Associated Political Shifts

Political changes, especially ones the marketplace considers unfavorable, will have an impact on your financial well-being. There are offshore institutions that remain relatively insulated from those types of issues. A bank that's based in a country with a stable political environment is a safe place to deposit your money.

A Combination of Offshore and Domestic Accounts Means more Peace of Mind

You already know that a diverse investment portfolio provides greater peace of mind. That's because some of your holdings are likely to be increasing in value when others are either stagnant or losing a small amount of value. Why would your bank accounts be any different?

When you choose to establish offshore checking or term deposit accounts, think of it as a way to diversify and protect yourself from whatever might happen. In the best-case scenario, your domestic

accounts do remain secure. If something does happen, those offshore accounts may be the resources that keep you from financial ruin.

Don't Delay in Reaping the Benefits of Offshore Banking

These are only some of the reasons to seriously think about setting up and continuing to fund offshore banking accounts. Think about your plans for the future and how the benefits offered by offshore banking could help you reach those goals.

Seek advice from a financial professional and determine what sort of accounts would work best for you. Remember that changes in domestic laws may limit your options in the near future. Act now and you won't be left wondering what might have been.

CHAPTER 10

Offshore Banking Institutions and Why They will Remain Popular

The concept of offshore banking has been around for a long time. Known in times past as elite banking, this approach to providing financial services has become more accessible than ever.

Unlike some other strategies, offshore banking continues to gain in popularity and is likely to endure even as the financial sector evolves. Why's the future so bright for offshore banking institutions?

Safer Institutions and Banking Systems can be Found Offshore

Offshore banks have tended to lead the way when it comes to creating safer settings for their depositors. In some nations, the amount of reserves that must be held in relation to the deposits is higher. That helps to reduce the risk of bank failure or the need for a bailout. If you should need to withdraw a sizable amount of your account balance at one time, the odds are that the bank can accommodate you without any distress.

The governmental regulations that offshore banks follow can often create a safer financial environment. While you should always find out what those regulations happen to be, it's possible to find international banks that must meet more fiduciary requirements in order to operate. That's a good thing for you.

Offshore Banks Located in Politically Stable Nations

Political upheavals can certainly impact the financial sector within any nation. At times, an upheaval can negatively impact the worldwide economy. Fortunately, the laws in some nations help to keep most or at least some of those issues from undermining their economies.

People who wonder what might happen in their home nations will continue to open and maintain offshore accounts. In the event that political issues place their domestic assets in jeopardy, they can rest assured that the balances in their time deposit, checking, and investment accounts are safe in an offshore institution.

More Comprehensive Privacy Options

Privacy is another area where offshore banks excel. Any foreign entity that seeks to obtain information about your accounts will find the going difficult in most instances. Depending on where you choose to open those offshore accounts, even verifying that you do business with a given bank may be this side of impossible.

Offshore banks were known for their discretion long before online banking became possible. Given how much banking is done via the internet these days, offshore banks have tended to lead the way in coming up with solutions that prevent data breaches and other problems that would allow someone else to access and make use of your private information.

Greater Protection from Undesirable Economic Shifts

Political shifts are not the only thing that could affect your domestic assets. Downward economic changes like recessions and depressions could lower the value of some of your assets. The result is that your net worth takes a hit. Depending on how bad things get, you may be in danger of losing some of those assets, including the home where you live.

Having funds tucked away in offshore accounts helps to insulate you from losing it all. The funds can be drawn on when your domestic accounts are almost empty. In the meantime, those offshore account balances continue to generate interest income that could come in handy later.

Holding onto More of your Hard-Earned Money

The tax structures that apply in many nations could be favorable for saving money or generating money via investments. In short, you may be able to pay lower taxes on the revenue that you generate. This is true for individuals as well as businesses. Check out the tax laws and see how they would apply in your case. What you'll find is that opening accounts in a tax-friendly nation will allow you to hold on to more of your cash and even offer opportunities to earn more interest on those account balances.

Opportunities to Diversify Your Investments

There are more investment options out there than you can include in a domestic portfolio. While you may not want to drop it in favor of a collection of offshore investments, there's no rule that says you can't have both.

Use an offshore portfolio to get in on investments that are different from what you have at home. Many offshore banks have investment brokers who can help you locate options that fit in with your financial planning. This dual approach helps you build wealth while keeping the risk within an acceptable range.

Enjoy Greater Returns on Investments

Here's another point to remember about those offshore investments: they may perform better than whatever is happening at home. The result is that you generate more wealth with them. Some of those investments will involve less risk than anything you could find domestically.

Think of what that means if you have some financial goal that you want to accomplish in the next five to ten years. The assets held in your offshore account could be just what you need to reach the goal. Even after that's done, the account can continue to help you accrue cash that will help you reach the next goal on your list.

Protecting Assets from Seizures at Home

One of the most popular benefits of offshore banking is protecting assets that would otherwise be potentially lost at home. Situations like this are not always due to shifts in the economy or adverse political situations. They can also come about because of a lost lawsuit or financial distress that leaves creditors suing for control of your assets.

There are nations that protect assets held in offshore banks that operate within their jurisdictions. Even if you lose a suit, the domestic court cannot seize your offshore holdings and use them to settle the suit. Your domestic assets may be gone, but your offshore ones remain in your control.

Your Nest Egg for the Future

Offshore banks have been a valuable tool for generating assets for the retirement years. That's not likely to change anytime soon. By choosing to do business with the right institution, you can open accounts with relatively small balances. Over time, those balances increase through deposits and the accrual of interest. Even small deposits each month can add up to an impressive sum over the course of two or three decades.

See this as a way to painlessly set aside funds for your retirement. Should you decide to move to that country, the bank can help with any account conversion needed as well as provide support with purchasing a home. The fact that you already have a relationship with the bank will make things go smoother.

Widen your Financial Net

The bottom line is that offshore banks aren't going anywhere. You can depend on banks based in the right countries to protect your assets and your privacy.

Whether you plan on moving to that country some day or want to build wealth that provides greater financial security in different types of situations, banking offshore is an option to consider seriously.

CHAPTER 11

What are Banking Liquidity Ratios and Why Should you Care?

If you're not familiar with the concept of a banking liquidity ratio, don't feel alone. The average bank customer may have only heard the term in passing. Fortunately, this is an aspect of banking and finance that's easy to grasp. It's also one that you need to keep in mind as you decide which institutions will be taking care of your hard-earned money.

Here is some information that will help you understand bank liquidity ratios and why they should factor into your decision about where to bank.

The Basic Definition of Liquidity Ratio

A liquidity ratio has to do with the amount of cash and cash assets that a banking institution has on hand for conversion. Not all assets are classed as cash assets. For the purposes of calculating a liquidity ratio, a bank would consider only those assets that could be sold off and increase the cash on hand within a specified period of time. While there are some parts of the world where that window for conversion is longer, many countries use 30 days as the standard.

The ratio itself measures the amount of liquid assets against the financial obligations that the bank must meet within that defined window of time. In other words, if every obligation to depositors as well as creditors were called due immediately, would the bank have enough assets to honor them and remain open?

One way to understand how the ratio works is to consider what took place during the onset of the Great Depression of the 1930s. At the time of the stock market crash, many people rushed to withdraw their funds from bank accounts. The result is that some banks were unable to comply and had to close their doors. The banks that were able to continue functioning had enough resources that could be used to immediately meet the demand.

Understanding the Two Types of Liquidity Ratios

There's more than one type of liquidity ratio that determines the financial health of a banking institution. Each of them deserves close attention:

1. The Current or Working Capital Ratio: This type of liquidity ratio has to do with how well the bank could settle all debt within a short amount of time. That timeframe may be defined as one calendar month or it could be as long as one calendar year.

The focus is on how much cash is on hand currently as well as assets that could be converted into cash in time to settle all outstanding debt. In an ideal situation, the bank would be able to meet most obligations using the cash on hand and only need to convert a percentage of assets.

2. The Quick or Acid Test Ratio: This type of liquidity ratio focuses on the bank's ability to cover all immediate debt obligations using cash and convertible assets. Unlike a current ratio, the quick ratio is not concerned with paying off all debt in a short period of time. It's about meeting obligations that are immediately pending.

This could include covering upcoming installment payments on equipment or making at least the minimum payment on any revolving accounts related to the bank's operation. It could also involve crediting customer bank accounts with interest that's due and other financial matters that must be covered within a period that's typically no longer than a month. Think of it as a quick way to determine that the bank has the resources to keep operating in the short term, without having to leave any essential obligation unpaid.

What's a Desirable Liquidity Ratio?

Generally speaking, a higher liquidity ratio is in the best interests of consumers. That higher ratio indicates the institution is in a better position to weather economic shifts or continue to operate if changes in the political climate should develop. To some degree, that higher ratio also shows that the bank would be in a position to keep operating in the event of some catastrophic event like a natural disaster or a worldwide pandemic.

As you consider options for domestic and offshore banks, the most desirable liquidity ratio is one that exceeds what you can find at other institutions. Simplistically, the higher the liquidity ratio,

the lower the perceived risk of the bank. If the plan is to open [accounts](#) and generate interest on the balances, you definitely want to know the bank's current liquidity ratio.

How do I go About Confirming a Bank's Liquidity Ratio?

The process for confirming a bank's liquidity ratio is not difficult. In most instances, all that's required is to ask the question. This is the type of information that banks want prospective customers to know. Once the question is asked and answered, it's possible for bank personnel to point out what the institution has to offer because of that strong ratio.

Asking the question regarding an institution's liquidity ratio to a bank officer is the simplest approach. You can ask the question in person, via email, or you may even be able to find the information on the bank's website. Remember that since liquidity ratios can and do change over time, it never hurts to ensure that the figure received is current.

Do Liquidity Ratios for Offshore Banks Vary?

Many nations have standards that banking institutions operating within their borders must meet. Setting a minimum liquidity ratio is among those standards. Around the world, you will see different figures related to various countries. As an example, offshore banks in Belize must maintain a liquidity ratio of 24 percent whereas in other nations they may require a ratio of 10 percent or even less.

Keep in mind that a lower ratio doesn't mean the bank is facing imminent failure. Even so, it's a good idea to focus your attention on banks that do have a higher ratio since it means they are more likely to remain open and keep serving your accounts even if severe changes do take place.

Not all Banks are Created Equal

The bottom line is that not all banks can offer the same level of protection. As you seek to find the best domestic bank for your use, do ask about the institution's liquidity ratio.

Should you decide to establish accounts with an offshore institution, do the same. You'll find that reputable international banks are happy to provide this type of information to prospective clients.

CHAPTER 12

International Bank Loans

Finance your International Investments

Imagine visiting a developing country in the coconut tree lined, white sand, blue water beach Caribbean and thinking “I ~~want~~ need to be a part of this”. This line of thought, often called *investment migration* is often followed by the investor, recently enamored with the beauty of their opportunity filled vacation destination, seeking ways to finance their newly found dream. whether it be the construction of a hotel, Air BnB/VRBO rental unit, vacation home, or the purchase of a condo, or a part time vacation home that generates income with the ultimate of society’s long-term goals, retirement, the issue remains the same, how do I start and where will the money come from?

The difficulty of obtaining loans for offshore real estate

Most banks don’t offer financing for projects outside of their home country, unfamiliarity with markets outside of their jurisdiction and the complications of regulations and legalities cause these banks to simply deny the option to obtain loans based of foreign collateral. If a person seeks to finance a project outside of their home country, they may find that domestic banks are also unwilling to finance projects, as their projects may be limited only to residents and citizens of their country, how then does a person obtain a bank loan for their international investing needs? This poses a challenge for investors who have identified projects and properties with unlimited potential and who wish to expand beyond the confines of their home country.

Offshore Banks come as a solution to this difficulty, bridging the gap between the investor and the financing of his dream investment. However, it is important to note, that offshore banks don’t offer financing for just any project and may require specific requirements and collateral for all loans, thus eliminating the possibility of a ‘personal’ or non-collateral loan. Offshore banks remain the best option for those seeking to expand and finance their investments to more regions.

What about collateral?

Review of collateral is a significant aspect for the approval of any mortgage loan, international banks are no exception, and is of even greater importance, due to the higher lending risk. For this reason, investors may find that international banks would offer loans for only specific jurisdictions and at a higher down payment amount. Some banks are more specific in their lending practices, offering loans only for real estate purposes. Other collateral may be offered to compensate for higher down payment requirements, such as additional properties, cash collateral, and even gold, in gold backed loan programs.

What the process looks like

To apply for a loan with an offshore bank in Belize, you would need to contact the bank, speak with a loan officer, where the following documentation would be request:

- Appraisal of the property
- Two years tax returns
- 3-6 months of bank statements
- Budget Analysis
- Statement of Affairs
- 3-6 months of bank statements
- Additional information may be required.

Overall, the process can take up to 1-3 months, depending on the availability of documentation, considering the time for wire transfers to be received and settled.

CHAPTER 13

Practical Reasons to Open a Bank Account in Belize

An offshore bank account can be a great addition to your estate planning. The goal is to settle on the best location for those accounts. As you compare the merits of different national banking systems, take a close look at what Belize has to offer.

Here are nine of the more attractive aspects of Belize banking that are sure to catch your eye.

Offshore Accounts in a Stable Setting

Economic stability is a must when you're talking about setting up offshore accounts. Ideally, you want to establish accounts that are safe from some of the issues that plague other parts of the world. That's because those accounts are intended to help you amass resources that will come in handy later in life. Why risk your financial wellness by opening accounts in a less than stable setting?

On this front, you'll find that Belize is equal to and in some ways superior to other offshore options. The economy has a solid history of holding up nicely even when things are not going that well elsewhere. Add in the fact that the political setting and the culture in general lend more stability to the country and it's easy to see why accounts based here make a lot of sense.

Taking Advantage of Competitive Rates

Another point in favor of Belize is the competitive interest rates that you get to enjoy. The specific rates that you can command will vary somewhat. A lot depends on the amount you deposit, the type of account that you choose to open, and how often you continue to place more funds in those accounts. In any event, you can expect to receive a reasonable return on those balances.

Do take the time to compare the merits associated with a [term deposit account](#) versus a [demand deposit account](#). The former allows you to lock in a fixed interest rate in return for leaving

the funds in the account for an agreed-upon time. That's a great approach if the plan is to set aside funds that you'll use later in life.

Broader Options for Investments

Are you thinking of adding some international investments to your portfolio? Belize is a good place to look for new opportunities. There are options like real estate and other investment types that are a little different from those you'll find closer to home. In some cases, the potential for greater returns is quite real.

You'll find that the banking experts in Belize are transparent when it comes to providing information about investment opportunities. Don't expect anyone to hurry you into committing to a specific investment. Those involved in the banking industry in Belize want clients to be fully informed before they make any type of commitment. If you're used to high-pressure tactics at home, this aspect of the banking and investment culture will be a refreshing change.

No Language Barrier

With some offshore opportunities, you may feel a bit lost because of problems speaking certain languages. Here's another area where choosing to do your banking in Belize makes a lot of sense. English is one of the most common languages spoken in the country. That should come as no surprise since the country was once known as British Honduras.

There are other languages that are also spoken in the country. For example, people who speak Spanish as a first or second language will have no problems communicating. Mandarin, Maya, and Garifuna are also options. The bottom line is that language will not be a hindrance as you look to open banking or investment accounts.

Protecting Part of your Assets from Domestic Legal Entanglements

Opting for financial accounts in Belize allows you to build wealth that remains safe from any legal actions at home. Even if some type of obligation were to wipe out all of your domestic accounts, the funds tucked away in your offshore accounts would still remain within your control. See it as one way of diversifying enough to avoid financial ruin.

Why is this important? Consider what could happen if you were sued and the outcome was not in your favor. There's the potential for all or at least most of your domestic assets being seized to settle the judgment. How would you go about recovering from that type of setback? If you have funds in offshore accounts, you will have resources to help you get by while moving past any such unfortunate event.

More Insulation from Economic Shifts

While some economic downturns affect a single or possibly a few nations, others have a global impact. It's happened before and could easily happen again for all sorts of reasons. Natural disasters, epidemics, pandemics, political collapses, and a number of other factors may bring on the downturn. If one of those issues undermines the economy at home, it pays to have funds tucked away elsewhere.

Belize has tended to fare better than many other nations during a global recession. Couple that with the general economic stability that the country enjoys and it makes sense to open accounts here rather than in a country that cannot offer this type of dual protection.

An Excellent Way to set Aside Resources for Retirement

Retirement is something that everyone needs to consider closely. Unfortunately, life has a way of making it difficult to create and fund accounts that provide security in later years. In some cases, one of the major hurdles is the need to deposit large sums of money when opening those accounts. People who are more in the middle-income than higher-income category may be discouraged at what's required by domestic institutions.

The nice thing about the demand deposits and the [savings accounts](#) in Belize is that the minimum deposits needed to set up accounts is comparatively low. The same is true for many investment options. That makes it more practical for those with more modest incomes to start with lower balances and gradually add to them when and as possible.

Offshore Clients Enjoy Excellent Protections

In some offshore locations, the protections offered for depositors outside those countries are different from the protections offered to citizens. Simply put, your money may not be protected to the same

extent. This is one of the reasons why it pays to learn all you can about the banking laws that apply in any offshore setting.

What you will find with Belize is that the laws do quite a bit to protect offshore depositors. As you learn more about the measures taken to protect your assets, it will be easy to see why this country is the right place to base your accounts. Add that to the competitive interest rates that you can earn, and your decision will be an easy one.

The Tax Advantages

There are also tax benefits associated with opening financial accounts in Belize. While the country's banking system will comply in full with any reporting required by your domestic revenue agency, the tax structure within the nation helps ensure your money is safe.

There's another aspect to consider. If your plan is to eventually retire in Belize, the tax structure will also work to your advantage. You'll find the laws to be fair and simple to understand. That makes the process of living in the country and contributing to the overall financial stability all the easier.

Your Next Step

Once you've weighed the pros and cons, you might be ready to begin banking offshore. That's a big decision, but it is one that can offer a number of important privacy, financial, and security benefits. The next step is to determine what kind of offshore banking services you might need and where the ideal offshore banking destination might be.

At [Caye International Bank](#) headquartered on the beautiful Caribbean island of Ambergris Caye in Belize, offshore banking is accessible and easy-to-navigate. Recognized as one of the top private offshore banks in the world, Caye is the perfect place to turn to in order to learn more about your offshore banking options.

To see if you qualify for an offshore bank account with Caye International Bank please [fill out the form on this page](#) and a representative of the bank will reach out to you shortly.

For more information please contact us here:

<https://www.escapeartist.com/offshore-banking-setup/>

PRESS RELEASE

Caye International Bank in the Press

Caye International Bank, Chaired by Joel Nagel, Sweeps Top Banking Awards for 2021; Named Best Offshore Bank for CARICOM 2021 by International Investor Magazine

Caye International Bank in Belize, which is chaired by attorney Joel Nagel, received five major awards in 2021, including International Investor Magazine's Best Offshore Bank for CARICOM 2021.

Attorney Joel Nagel attributed the awards to the bank's excellent customer service. Luigi Wewege, the bank's newly elected president, also personally received two awards.

SAN PEDRO, Belize, Jan. 6, 2022 /PRNewswire/ -- Caye International Bank (CIB) has once again swept the banking awards in 2021. Five prestigious awards include:

Best Offshore Bank for CARICOM 2021 - as awarded by *International Investor Magazine*,

Best Private Bank in Central America - as awarded by *Global Banking & Finance Review*,

Private Bank of the Year for LATAM 2021 - as awarded by *Pan Finance Magazine*,

Best International Private Banking Services Provider 2021 – Belize - as awarded by *Corporate Vision Magazine*

Best International Private Bank in Central America for 2021 - as awarded by *International Business Magazine*.

Chaired by Attorney Joel Nagel, Caye International Bank is a leading offshore bank headquartered on Ambergris Caye, Belize, with a consistently excellent delivery of financial services and products.



Belize's Caye International Bank Chairman, Ambassador Joel Nagel, President, Luigi Wewege, executive management and board members Joshua Gutttau, Gladys Urbina, Michael Cobb, and Dr. Kenneth Skorenko receive Best Offshore Bank award for CARICOM 2021 by International Investor magazine (PRNewsfoto/Caye International Bank)

Commenting on the series of awards, Ambassador Joel Nagel said: "Caye has earned its good name thanks to its excellent customer service. Our team's trustworthiness and reliability shine through to our clients because of its integrity, dedication, and innovation. We are very proud."

Luigi Wewege, [newly elected president](#) of CIB, was also an awardee, named [Private Banker of The Year \(LATAM 2021\)](#) by Pan Finance Magazine and [Private Banker of The Year \(CARICOM 2021\)](#) by International Investor Magazine. Wewege has also been invited to join the [Forbes](#)

[Finance Council](#). "It is an incredible honor to be recognized for my work at the bank and for Caye's exceptional bank growth to be recognized on an international scale. Receiving these awards from all of the superb publications listed is a testament to the dedication and teamwork of bank staff, board members, and their combined tireless efforts to achieving our mission of future growth in 2022 and beyond."

CIB Director Michael K. Cobb said: "As more and more people see the need to have a "Plan B" and/or work remotely, Caye International Bank is serving them well."

Global Banking & Finance Review determines winners via company documents and public filings, applying local market knowledge, global footprint, and investment breadth and sophistication. Perspective from analysts and consultants are also part of the decision-making process.

Pan Finance Magazine is both a print and online journal providing worldwide intelligence on finance, economics, and global commerce. With in-depth analysis and opinion pieces from esteemed academics and celebrated professionals, its readership consists of senior decisionmakers from across the globe.

International Investor is also a print and online publication focusing on providing in-depth information and covering a broad range of topics like world markets, investment opportunities, and industry analysis for the forward-thinking, global investor.

Corporate Vision, by AI Global Media, acknowledges and celebrates businesses worldwide who actively strive to be better every day. Companies that innovate, grow, and thrive despite challenges and uncertainty are especially heralded, as success relies on an ability to be agile and future-thinking.

International Business Magazine delivers the latest news from the financial world and keenly promotes innovative solutions in the industry. It has been regarded as one of the best business magazines in the industry for all its insights and market views.

Under the leadership of Ambassador Joel Nagel and Luigi Wewege, **Caye International Bank** is the only international bank headquartered on the beautiful island of Ambergris Caye in Belize. CIB conducts financial services with both individuals and corporations located outside of Belize, offering a full range of traditional and non-traditional banking services and accounts in multiple currencies. An application to open an account is a simple process and can be facilitated online from anywhere in the world. [Contact them today](#) for more information.

An Introduction to Offshore Banking

How Privacy and Control Can Protect What's Yours

About the Author



Luigi Wewege is President of award-winning Belize, Central America headquartered Caye International Bank, published author of *The Digital Banking Revolution* - now in its third edition, has co-authored economic research which was presented before the United States Congress and currently serves as an Instructor at the FinTech School in California. He holds an Italian MBA from The MIB Trieste School of Management with a major in International Business, as well as a BSBA with a triple major in Finance, International Business, and Management from the University of Missouri-St. Louis.